

Organization

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Course agenda

Date	Main theme
13.04.2026	Definitional basics of organization
20.04.2026	Formal organizational design
27.04.2026	Organization and environment
04.05.2026	Strategic organization design
11.05.2026	Technology and organization
18.05.2026	Information technology, AI, and organization
01.06.2026	Informal organization

Date	Main theme
08.06.2026	Informal organization
15.06.2026	Dynamic perspectives on organizing
22.06.2026	Guest lecture, Felix Ehrenfels, mmmake
06.07.2026	Trends in organization design
13.07.2026	Trends in organization design
17.07.2026	Review and wrap-up

Session 02

Formal organizational design:

When designers' plans (do not) shape reality

Why formal design matters

Structures how work is divided

Shapes coordination and control

Defines authority and managerial expectations

Affects reliability, innovation, and adaptability

→ **Formal design is a core problem of organizing.**

What you should be able to do after this session

Learning goals

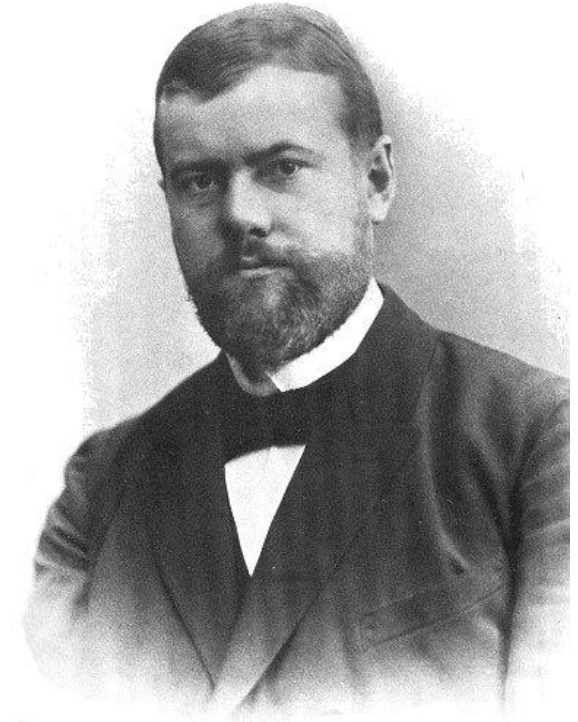
- Analyze rules and procedures as formal design elements
- Understand roles and incentives as formal design elements
- Distinguish major structural forms and compare trade-offs
- Apply formal design concepts to an organizational case



Image source: ChatGPT

Weber's ideal bureaucracy

- Fixed division of labor
- Clearly defined hierarchy of offices
- General rules governing office performance
- Selection based on technical qualifications
- Fixed salaries
- Office as a primary occupation and career
- Promotion by seniority
- Separation of official work from ownership of the means of administration



→ **Bureaucracy is defined by formalized roles, hierarchy, and rules**

Hatch, M. J. (2018). Organization theory: Modern, symbolic, and postmodern perspectives (4th ed.). Oxford University Press; Image source: Wikimedia

From Weber to today's session

Formal design elements for this session

Rules and procedures

Roles

Incentives

Structure

Rules and procedures

Formal design elements for this session

Rules and procedures

Roles

Incentives

Structure

Rules and procedures

- Definitions
 - **Rule:** A rule is a formal, explicit prescription that specifies what is allowed, required, or prohibited in a given organizational context.
 - **Procedure:** A procedure is a formal, specified sequence of steps that prescribes how a task or process should be carried out.
- Visible in written policies, handbooks, job descriptions, manuals, and organization charts
- Tells employees how to decide and how to perform assigned tasks
- Increases control and reduces discretion
- Can discourage agility and innovation



Image source: ChatGPT

McDonaldization

An extreme case of formal rules and procedures

Efficiency, least input for highest return

Standardization reduces assembly costs

Predictability, the same product or service everywhere

Control, minimizing variation in people, materials, and processes

Hatch, M. J. (2018). Organization theory: Modern, symbolic, and postmodern perspectives (4th ed.). Oxford University Press.;
Clegg, S. R., Pitsis, T. S., & Mount, M. (2025). Managing and organizations: An introduction to theory and practice (7th ed.). Sage.

McDonaldization in practice

Discuss with a neighbor:

- What in a fast food store fits the four criteria?
- What are the positives and negatives?

You will have 5 minutes

Be prepared to share your solution with the class.



Clegg, S. R., Pitsis, T. S., & Mount, M. (2025). Managing and organizations: An introduction to theory and practice (7th ed.). Sage;
Image source: pixabay, andreas160578

A caution

Designing rules does not guarantee action

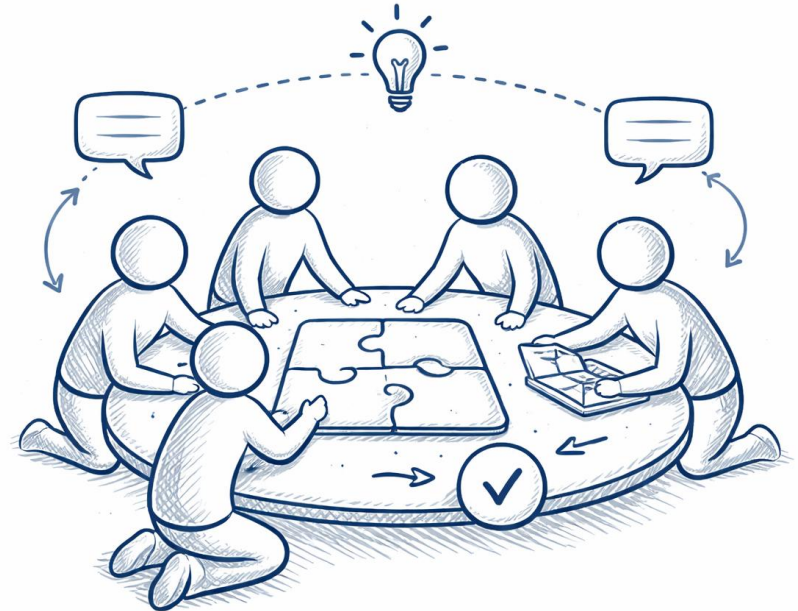
- Designing procedures and rules means designing artifacts, not patterns of action
- Organizational procedures are generative systems that produce variable, context dependent performances
- Artifact-centered design assumes that rules will be followed as specified
- In practice, actors interpret, adapt, or ignore artifacts

Pentland, B. T., & Feldman, M. S. (2008). Designing routines: On the folly of designing artifacts, while hoping for patterns of action. *Information and Organization*, 18(4), 235-250.

Exercise

Find an artifact of a rule or procedure

- Form groups
- Leave the room and find one artifact of rules or procedures in the building
- Take a photo of the artefact
- Copy the photo into a slide in Google drive:
https://docs.google.com/presentation/d/1cUOUFH_p7bb5Eh40f8Zp7B3dIx_vS0HR8ri8aZEMArYM/edit?usp=sharing
- Discuss whether the rule is decisive and why it may not always hold.
- You will have 15 minutes
- Please set a timer!

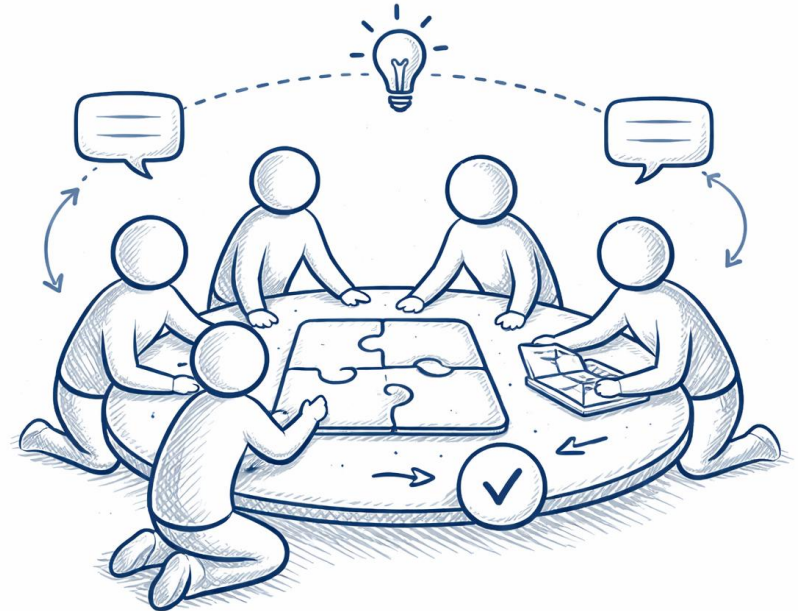


Exercise

Find artifacts of rules

What the exercise should reveal

- Organizations are full of artifacts of formal design
- Artifacts make expectations visible
- Artifacts do not determine action



Roles

Rules and procedures

Roles

Incentives

Structure

Roles as coordination devices

What roles are

- A mechanism for coordinating work activity
- Expectations associated with social positions
- A way to facilitate continuity of behavior over time
- Expectations can also be negotiated
- Roles clarify who does what, link tasks and people, and guide behavior

Example: Amazon Product Manager

Overall purpose

- Plan, develop, and manage products to achieve defined goals

Roles and responsibilities

- Define product plans and set goals
- Develop product requirements and roadmap
- Prioritize tasks and manage trade-offs
- Analyze data and research to inform decisions
- Coordinate with teams to ensure execution and launch



<https://producthq.org/career/amazon-product-manager/>; Image source: unsplash, BoliviaInteligente

Three functions of roles

Monitoring

Allow checking progress and intervening, support accountability (e.g., senior consultant checks in on junior)

Substitution

Create shared understanding of responsibilities, allow people to substitute for one another (e.g., lawyer steps in for sick colleague)

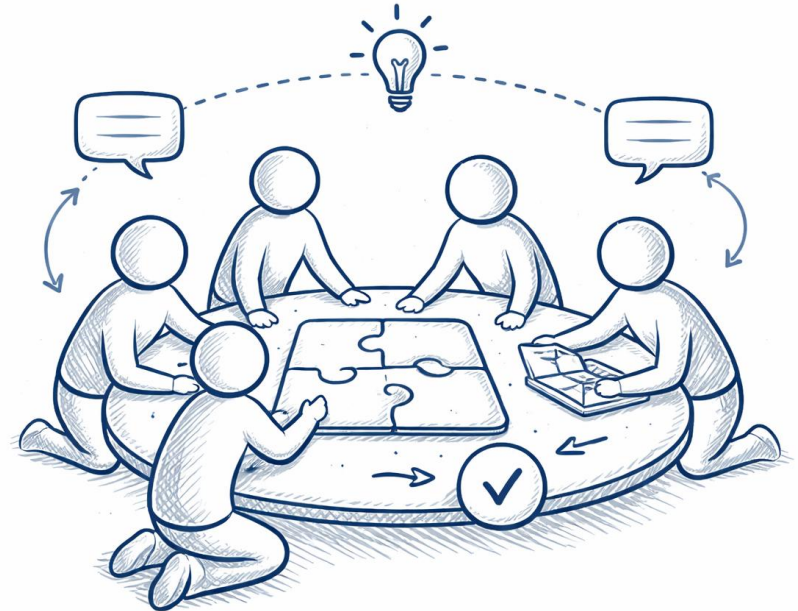
Creating a common perspective

Provide information across groups, enables people to understand who does what (e.g., key account manager helps customer)

Exercise

Define your role as a student

- Work with a neighbor
- Briefly discuss the key tasks incorporated in your role as students at TUM
- You will have 5 minutes
- Be prepared to share your solution in class



Incentives

Rules and procedures

Roles

Incentives

Structure

Why incentives matter



- **Definition:** Means or instruments designed to encourage actions or behavior
- **Scope:** Can be directed at individuals or groups
- **Control:** Help ensure that tasks are executed and goals can be achieved
- **Examples:** Include salary, wages, benefits, praise, acceptance, promotion, and title

Case study “BP Deepwater Horizon, Part 1”

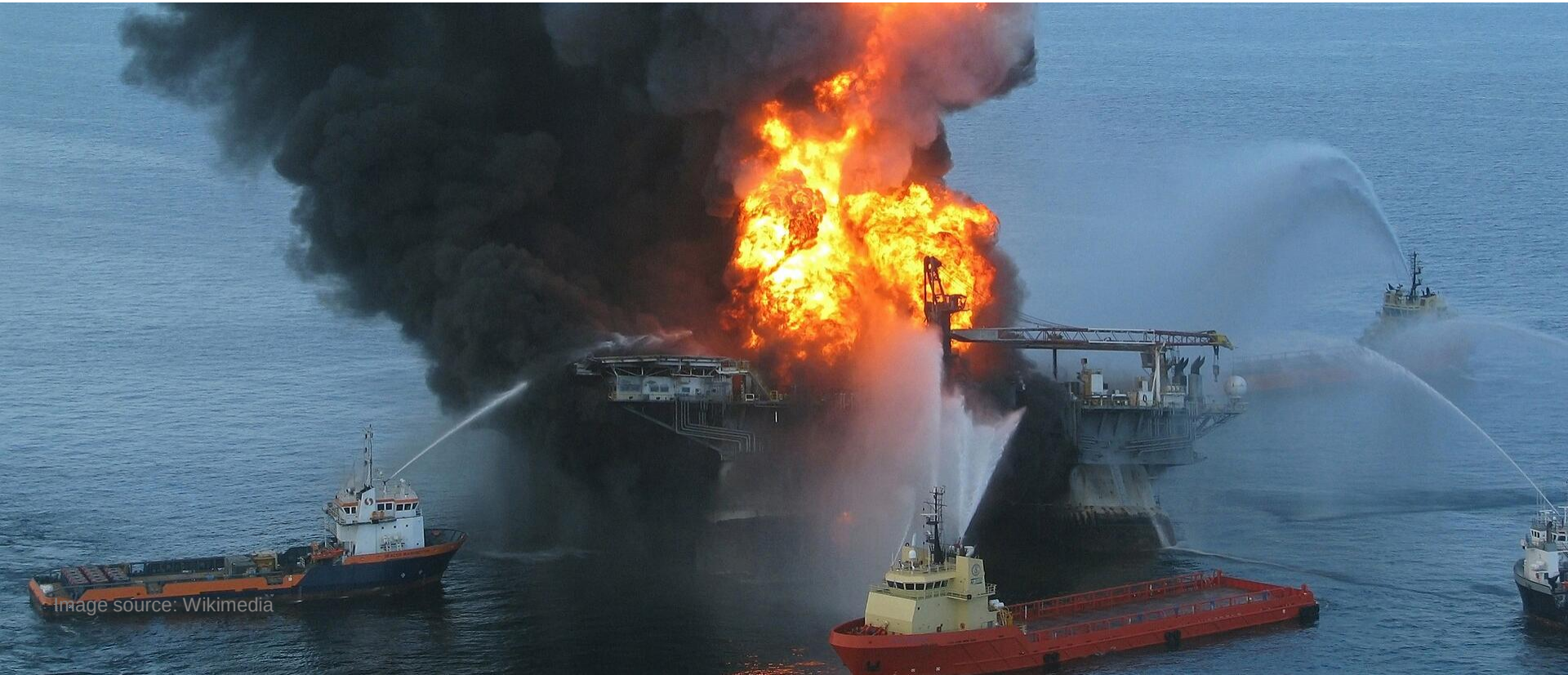


Image source: Wikimedia

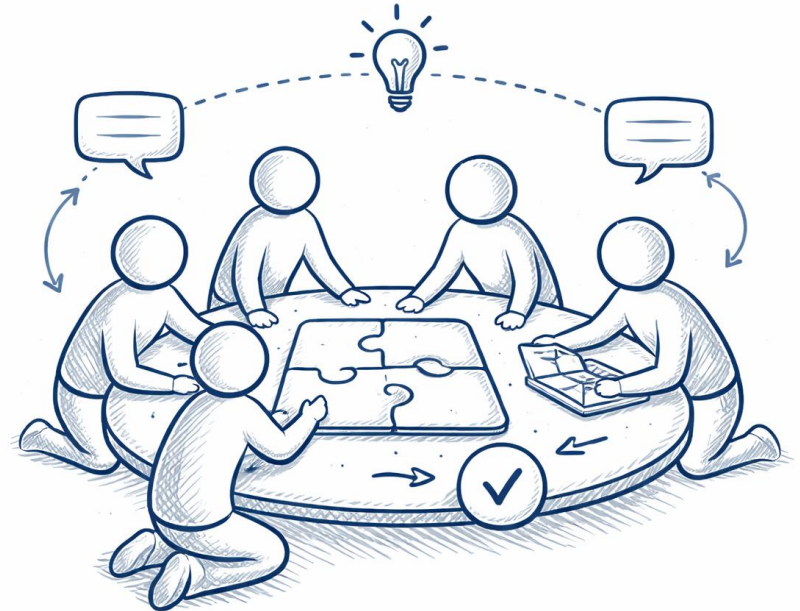


Smithsonian
CHANNEL 

Case study “BP Deepwater Horizon, Part 1”

Analyze the Deepwater Horizon Case

- Go together in groups
- Discuss the following questions:
 - Which elements of BP’s formal design do you recognize in the case?
 - When and why do those mechanisms become problematic?
 - What can you learn beyond that case about formal organization design?
- Be prepared to share your solution in class.



Structure

Rules and procedures

Roles

Incentives

Structure

Different forms of structure

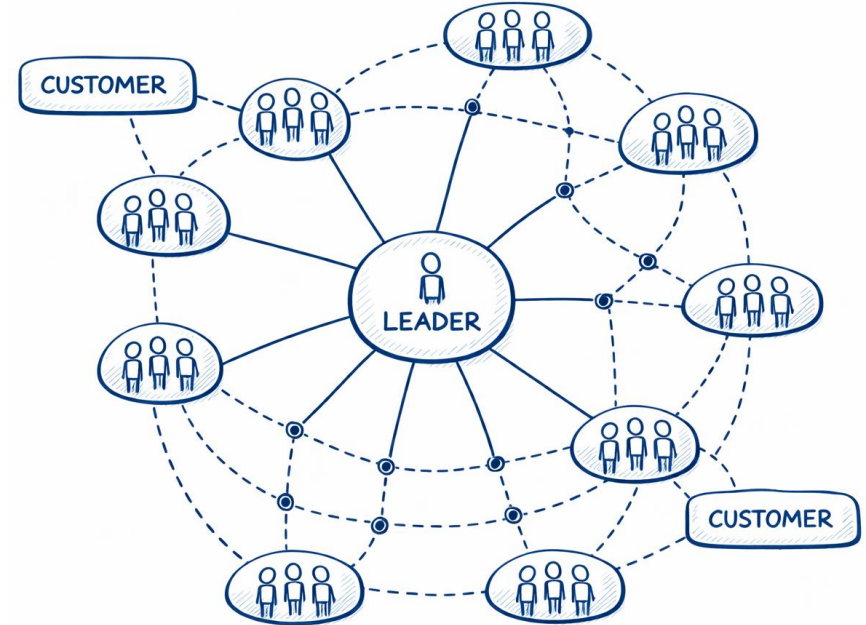


1. Simple structure
2. Functional structure
3. Divisional structure
4. Matrix structure
5. Horizontal structure

Simple structure

Characteristics

- Typical in new organizations with a founder and a small number of employees
- Little specialization and little formal hierarchy
- The founder tends to direct work informally
- Employees often handle many different tasks
- Close contact with customers is central



Simple structure

Strengths and weaknesses

Strengths

- Flexibility and quick response to customer demands
- Focus on product development
- High commitment, loyalty, and adaptation
- Strong responsiveness to the end result
- Strong clan and adaptive culture
- Good for small companies

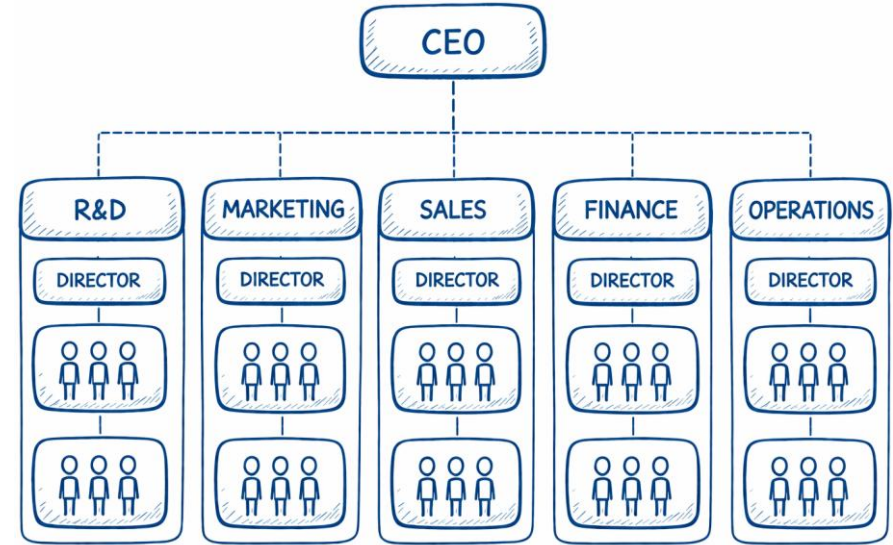
Weaknesses

- Hard to know which employees do what
- No economies of scale among employees
- Complexity: Difficult coordination across employees and customers

Functional structure

Characteristics

- Activities are grouped by common function (e.g., product development, marketing)
- Specialists are consolidated within departments
- Creates depth of knowledge and skill
- Coordination mainly runs through the vertical hierarchy
- Especially effective when efficiency matters and horizontal coordination needs are limited



Functional structure

Strengths and weaknesses

Strengths

- Economies of scale within functional departments
- In-depth knowledge and skill development
- Accomplishment of functional goals
- Best with one or a few products

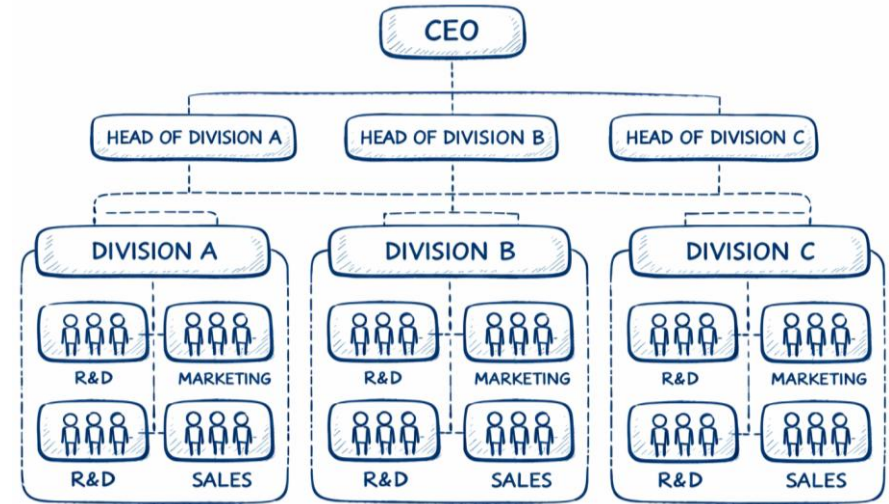
Weaknesses

- Slow response to environmental changes
- Decisions may pile up and overload the hierarchy
- Poor horizontal coordination among departments
- Less innovation
- Silo thinking
- Restricted view of organizational goals

Divisional structure

Characteristics

- Divisions can be organized by products, services, product groups, or locations
- Each division contains its own functional departments
- Promotes flexibility and change because units are smaller and more self contained
- Decentralizes decision-making
- Works well when organizations have multiple products or services



Divisional structure

Strengths and weaknesses

Strengths

- Suited to fast change in unstable environments
- Clear product responsibility and customer contact points
- High coordination across functions within divisions
- Adaptation to differences in products, regions, and customers
- Best in large organizations with several products
- Decentralized decision-making

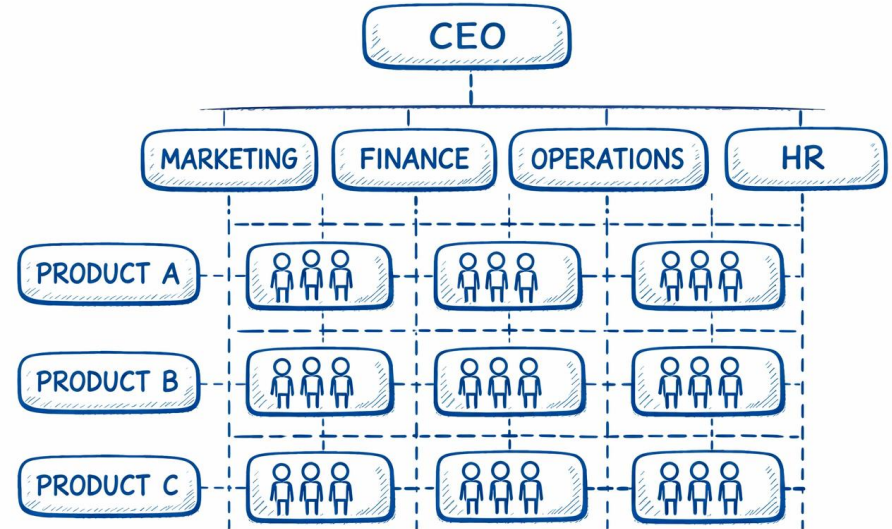
Weaknesses

- Loss of economies of scale in functional departments
- Poor coordination across product lines
- Less in-depth competence and technical specialization
- Difficult integration and standardization across product lines

Matrix structure

Characteristics

- Gives equal emphasis to product and function, or to product and geography
- Employees report to both product and functional managers
- Formalizes horizontal coordination alongside the vertical hierarchy
- Useful when technical expertise and product innovation are both important



Matrix structure

Strengths and weaknesses

Strengths

- Coordination for dual demands
- Flexible sharing of human resources across products
- Suited to complex decisions and frequent change
- Development of both functional and product skills
- Best in medium-sized organizations with multiple products

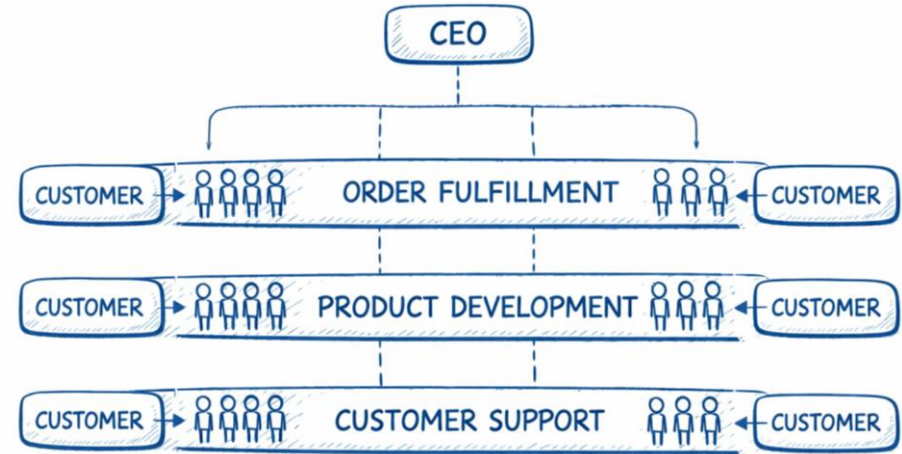
Weaknesses

- Dual authority can be frustrating and confusing
- Requires strong interpersonal skills and extensive training
- Time consuming, with frequent meetings and conflict resolution
- Requires great effort to maintain power balance

Horizontal structure

Characteristics

- Built around cross-functional core processes (e.g., order fulfillment, product development)
- Reduces vertical hierarchy and erodes departmental boundaries
- Self-directed teams are central
- Process owners are responsible for entire core processes
- Teams are given the skills, tools, motivation, and authority to act



Horizontal structure

Strengths and weaknesses

Strengths

- Flexibility and rapid response to customer needs
- Strong attention to customer value
- Broader view of organizational goals
- Teamwork and collaboration across functional experts
- Improved quality of working life through shared responsibility and decision-making

Weaknesses

- Identifying core processes is difficult and time consuming
- Requires changes in culture, job design, management philosophy, information, and rewards
- Employees require significant training
- In-depth skill development can be limited

When to apply which structural type?

Functional

Divisional

Matrix

Horizontal

Simple



Daft, R. L., Murphy, J., & Willmott, H. (2022). Organization theory and design: An international perspective (4th ed.). Cengage.

Symptoms of structural deficiency

How do you know your structure is suboptimal?

- **Decision-making** is delayed or lacking in quality
- **Flexibility and change**: The organization does not respond innovatively to a changing environment
- Employee **performance** declines and goals are not being met
- Too much **conflict** is evident

A caution on organizations in practice

Patchworks rather than pure models

- Overlap between structural elements
- Remnants of previous structures
- Ongoing redesign efforts
- Top-down restructuring attempts that encounter resistance

→ **Actual organizations often look more like patchworks than pure models**

Daft, R. L., Murphy, J., & Willmott, H. (2022). Organization theory and design: An international perspective (4th ed.). Cengage.

Takeaways from Today

Weber remains the key starting point for thinking about formal design

Rules and procedures matter, but do not determine action mechanically

Roles are central coordination devices

Incentives are central coordination devices

Structural forms solve different coordination problems and create different trade-offs

Formal design must be analyzed in relation to internal coordination and environmental demands

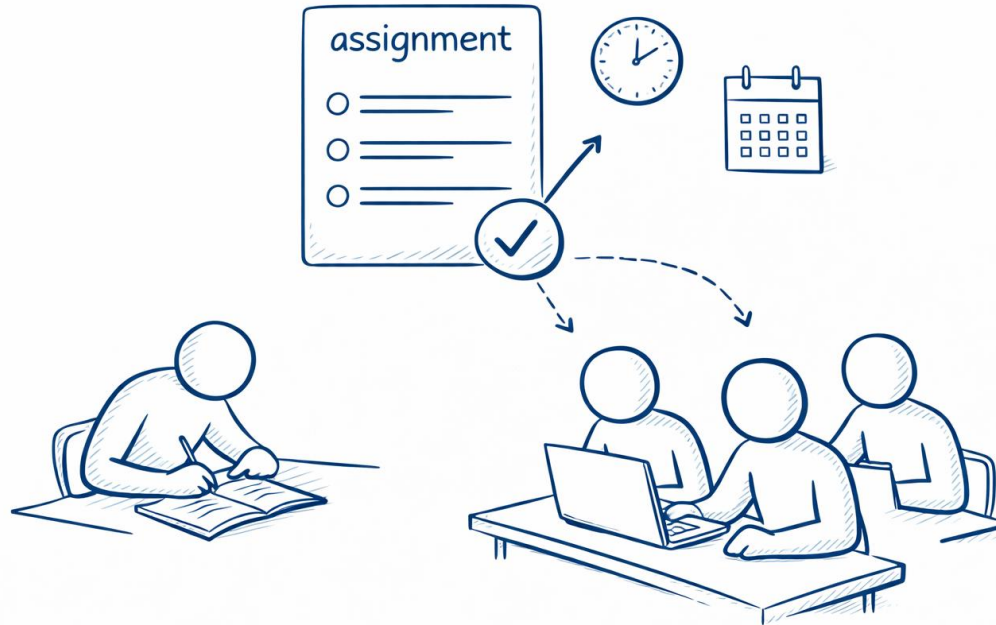
Feedback

Please fill out the survey



Homework assignment

Please read the case study “BP Deepwater Horizon, **Part 2**” on Moodle for next week’s session



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Contact information



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